CLEARANCE

AI Governance Diagnostic Report

Harbor Point Lending (fictional)

Financial Services (US) · Engagement ref CLR-US-SAMPLE · October 15, 2026

DEPLOYMENT BLOCKED

Confidential · Not for distribution
Engine v1.6 · Library v1.9.8

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Engagement ref	CLR-US-SAMPLE	**Date issued**	October 15, 2026
Organisation	Harbor Point Lending (fictional)	**Engine version**	v1.6 · Library v1.9.8
Sector	Financial Services (US)	**Active layers**	core, us_fs

DEPLOYMENT BLOCKED: 11 governance gaps identified. 1 Critical · 9 High · 1 Medium

CRITICAL	HIGH	MEDIUM	DEPLOYMENT BLOCKERS	ASSESSMENT CONFIDENCE
1	9	1	3	100%

This report is the output of a fixed-rules diagnostic evaluation. Every gap was triggered by the intake responses against a fixed gap library. The same inputs produce the same findings every time. This is not a consultant's view. It is a structured result. It does not constitute legal or regulatory advice. Specific regulatory obligations should be confirmed with your legal or compliance adviser.

EXECUTIVE SUMMARY

This assessment of Harbor Point Lending (fictional)'s AI deployment identified failures across decision governance and audit capability and model governance and consumer financial protection. Individually, these gaps create operational risk. Together, they create a position that would be difficult to defend during an incident investigation, procurement review, or regulatory challenge. This system must not enter or remain in production until the findings below are resolved.

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Gap Findings

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Every gap below was triggered by intake signals. Each states when it becomes visible and what closes it. Gaps are ordered by severity.

CRITICAL

G05-CORE-REMEDIATION

Remediation path absent

Investigators do not weigh single gaps in isolation. They look for a pattern with no remediation plan behind it, because that is what separates an organisation that missed something from one that knew and did nothing.

HIGH

G01-CORE-BOUNDARY

No decision boundary enforcement

An incident investigation asks a simple question: what governed this decision before it executed? For this system, there is no answer. The output became the action with nothing in between.

HIGH

G03-CORE-AUDIT

Audit void

Someone affected by a decision disputes it and asks to see the record. The decision happened. The record of it did not.

HIGH

G04-CORE-ACCOUNTABILITY

Accountability gap

Something goes wrong and the question lands on one desk: who was overseeing this system? The honest answer is no one was, formally, even though someone's name sits next to it.

HIGH

US-FS-G01-MODEL-GOVERNANCE

No model risk management framework covering AI systems

An SEC examiner asks for documentation of the firm's AI model governance. There is no model inventory, no validation records, and no monitoring process to show them.

Regulatory obligations: SR 11-7, Supervisory Guidance on Model Risk Management (Federal Reserve / OCC) · SEC Staff Bulletin 2024-06, AI governance obligations for registered investment advisers and broker-dealers · FINRA Regulatory Notice 24-09, AI supervision requirements for member firms · NIST AI RMF Govern 1.1, organisational AI governance accountability · Colorado AI Act SB 26-189 §4 (effective 1 Jan 2027), high-risk AI in financial services: impact assessment and governance documentation

HIGH

US-FS-G02-AUDIT-TRAIL

No audit trail for AI-assisted financial decisions

A client disputes an AI-assisted recommendation, and FINRA arbitration requires production of the decision record. No log was ever kept.

Regulatory obligations: SEC Rule 17a-4, books and records retention for broker-dealers · FINRA Rule 4511, general recordkeeping obligation · FINRA Regulatory Notice 24-09, AI explainability and recordkeeping requirements · SEC Staff Bulletin 2024-06, AI decision documentation for registered firms · NY DFS Part 500 §500.06, audit trail requirements for covered financial institutions · NIST AI RMF Manage 1.3, AI decision traceability and logging

HIGH

US-FS-G03-ADVERSE-ACTION

No adverse action notice process for AI-driven consumer financial decisions

A CFPB examiner asks to see the adverse action notices issued against AI credit decisions. The reasons cited don't reflect what the AI actually weighted.

Regulatory obligations: ECOA Regulation B 12 CFR 202.9, adverse action notice requirements · FCRA Section 615, adverse action obligations for consumer report users · CFPB Circular 2022-03, adverse action notice requirements for credit decisions using AI · Colorado AI Act SB 26-189 §5 (effective 1 Jan 2027), consumer disclosure and right to contest AI decisions · NIST AI RMF Manage 2.2, human oversight and explainability of high-impact AI decisions

HIGH

US-FS-G04-BIAS-FAIRNESS

No bias testing or fairness controls on AI-driven financial decisions

Fair lending scrutiny from the CFPB calls for disparate impact analysis on AI credit decisions. None has ever been conducted.

Regulatory obligations: ECOA / Regulation B, prohibition on disparate impact in credit decisions · Fair Housing Act, algorithmic fairness in mortgage and insurance AI · CFPB Supervisory Highlights, AI fair lending examinations · FINRA Regulatory Notice 24-09, bias assessment requirements for AI in member firms · Colorado AI Act SB 26-189 §4 (effective 1 Jan 2027), algorithmic impact assessment for high-risk AI in financial services · NIST AI RMF Map 2.3, bias and fairness risk identification

HIGH

US-FS-G05-CCPA-CONSUMER-RIGHTS

No CCPA-compliant consumer rights process for AI-processed personal financial data

A California consumer submits a CCPA access request covering AI-processed financial data. The AI systems were never mapped into the rights request workflow.

Regulatory obligations: California Consumer Privacy Act (CCPA) Cal. Civ. Code §1798.100, right to know · CCPA §1798.105, right to delete · CPRA Cal. Civ. Code §1798.106, right to correct inaccurate personal information · CPRA Cal. Civ. Code §1798.121, right to limit use of sensitive personal information · Colorado Privacy Act CRS §6-1-1306, consumer rights over AI-processed personal data · NIST AI RMF Govern 1.6, individual rights in AI systems

HIGH

US-FS-G06-NAMED-ACCOUNTABILITY

No named accountable individual for AI systems making financial decisions

A FINRA examiner asks who is responsible for supervising the firm's AI tools. No individual is named in the Written Supervisory Procedures.

Regulatory obligations: FINRA Rule 3110, supervision requirements including AI tools · SEC Investment Advisers Act Rule 206(4)-7, compliance program requirements including AI oversight · SR 11-7, model owner designation requirement · Colorado AI Act SB 26-189 §6 (effective 1 Jan 2027), responsible party designation for high-risk AI · NIST AI RMF Govern 1.1, organisational accountability for AI

MEDIUM

G02-CORE-PROVENANCE

Provenance weakness

A regulator or auditor asks where the data came from that drove a specific decision. Tracing it back takes days, not minutes, and for some inputs there is no trail at all.

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Regulatory Obligations

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The obligations below are engaged by the gaps identified in this report. GAP: a triggered finding directly engages this obligation. REVIEW: this obligation is relevant to your sector and worth examining. NOT COVERED: this assessment did not include questions for this obligation.

OBLIGATION	RELEVANCE	STATUS
SR 11-7 (Federal Reserve / OCC)	Model risk management framework required, inventory, validation, monitoring	GAP
SEC Staff Bulletin 2024-06	AI governance and supervision obligations for registered investment advisers and broker-dealers	GAP
FINRA Rule 3110 / Notice 24-09	Supervision of AI tools in regulated activities, named supervisor in WSPs required	GAP
ECOA / Regulation B	Adverse action notices must reflect specific AI decision factors, generic reasons not compliant	GAP
CFPB Circular 2022-03	AI credit decisions require specific adverse action explanations	GAP
Fair Housing Act	Algorithmic fairness required for AI in mortgage and insurance decisions	GAP
CCPA / CPRA	Consumer rights over AI-processed personal financial data, access, deletion, correction, opt-out	GAP
Colorado AI Act SB 24-205	High-risk AI in financial services, bias controls, disclosure, impact assessment (in force June 30 2026)	GAP

OBLIGATION	RELEVANCE	STATUS
NY DFS Part 500	Audit logging requirements for AI systems at covered financial institutions	GAP
NIST AI RMF	Govern, Map, Measure, Manage functions, referenced per gap	REVIEW

NEXT STEP

CLEARANCE identifies gaps. It does not remediate them. Remediation is carried out by a qualified partner. Contact whoever provided this report to discuss next steps.

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Remediation Roadmap

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One action per gap. Ordered by timeline. Critical gaps require immediate action. High severity gaps must be addressed within 90 days. Medium severity gaps within 180 days.

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
IMMEDIATE	**G05-CORE-REMEDIATION** Remediation path absent	Designate a named individual responsible for AI governance and give them 30 days to produce a written plan. Even a one-page document with milestones is enough to show the organisation is taking this seriously.	CRITICAL	your board
90 DAYS	**G01-CORE-BOUNDARY** No decision boundary enforcement	Introduce a rule evaluation layer between this system's output and the action it takes. Even a minimal documented ruleset is a material improvement on none.	HIGH	your system architect
90 DAYS	**G03-CORE-AUDIT** Audit void	Start logging every decision this system makes today: date, input, output, rule applied, in a write-once store. This is the foundation. Every other governance control depends on it existing.	HIGH	your compliance lead
90 DAYS	**G04-CORE-ACCOUNTABILITY** Accountability gap	Have the accountable individual start an oversight log this week: date, decision reviewed, action taken or confirmed. Even a simple log converts a job title into a defensible position.	HIGH	your compliance lead
90 DAYS	**US-FS-G01-MODEL-GOVERNANCE** No model risk management framework covering AI systems	Build a model inventory this week. Document every AI system touching financial decisions. Assign a named owner. Schedule independent validation within 90 days.	HIGH	your compliance lead
90 DAYS	**US-FS-G02-AUDIT-TRAIL** No audit trail for AI-assisted financial decisions	Implement per-decision AI logging this week. Integrate with your books and records system. Confirm retention periods. Test retrieval.	HIGH	your compliance lead
90 DAYS	**US-FS-G03-ADVERSE-ACTION** No adverse action notice process for AI-driven consumer financial decisions	Map every AI-driven consumer financial decision today. Confirm an adverse action notice process exists. Test notice language against CFPB Circular 2022-03.	HIGH	your compliance lead
90 DAYS	**US-FS-G04-BIAS-FAIRNESS** No bias testing or fairness controls on AI-driven financial decisions	Commission a disparate impact analysis on every AI-driven financial decision today. Document the methodology. Implement monitoring thresholds.	HIGH	your system architect
90 DAYS	**US-FS-G05-CCPA-CONSUMER-RIGHTS** No CCPA-compliant consumer rights process for AI-processed personal financial data	Map AI systems processing California consumer financial data today. Include them in your CCPA workflow. Update your privacy notice.	HIGH	your Data Protection Officer
90 DAYS	**US-FS-G06-NAMED-ACCOUNTABILITY** No named accountable individual for AI systems making financial decisions	Name a responsible individual for every AI system in regulated financial activities today. Update your WSPs. Document the escalation path.	HIGH	your compliance lead
180 DAYS	**G02-CORE-PROVENANCE** Provenance weakness	Create a register of every data source feeding this system. Assign an owner and a validation status to each.	MEDIUM	your system architect

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Evidence Appendix

ASSESSMENT RESPONSES

QUESTION	RESPONSE	CATEGORY
AI system is live in production or active pilot	Yes	Your AI system
System makes or influences high-impact decisions	Yes	Your AI system
Decisions execute without individual human review	Yes	Your AI system
A written decision boundary document exists	No	Rules and boundaries
That document is version-controlled and enforced at runtime	No	Rules and boundaries
System uses data from outside the organisation	Yes	Data
Every input is traceable to its origin, owner, and last update	No	Data
Automated validation runs before data reaches the system	No	Data
Every decision is logged automatically at the time it happens	No	Records and accountability
A tamper-evident, provable audit trail exists	No	Records and accountability
A functioning human override mechanism exists and is used	No	Records and accountability
A named individual is personally accountable for this system	No	Records and accountability
An incident, near-miss, or complaint has occurred	No	When things go wrong
Documented corrective action was taken following the incident	No	When things go wrong
Does a model inventory exist covering AI systems in financial decisions?	No	US FinServ Controls
Has independent model validation been conducted before deployment?	No	US FinServ Controls
Has disparate impact / bias analysis been conducted on AI financial decisions?	No	US FinServ Controls
Does your adverse action notice process reflect AI decision factors?	No	US FinServ Controls
Does your CCPA/CPRA consumer rights process cover AI-processed data?	No	US FinServ Controls
Is there a named accountable individual for AI financial systems?	No	US FinServ Controls
List the US states where this financial AI operates (comma-separated, e.g. CA, TX, NY):	['CA', 'CO']	US FinServ Controls

ASSESSMENT INTEGRITY

Organisation: Harbor Point Lending (fictional)
Sector: Financial Services (US)
Run ID: 90c081cc-5e4d-4f22-a03b-7d58f34435f0
Engine version: v1.6 · **Library version:** v1.9.8
Active layers: core, us_fs
Findings hash: 131f2a42b1a904850dccb3b19cdae0da3d83bab9a6582f3b34d81cc69b117fdf
Generated: 2026-10-15T20:24:19.178315+00:00

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